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29-07-2021

Dear Colleague,

First of all, I hope you and your family continue to remain safe and healthy. This is very important, not only for your and your family's wellbeing, financial security and future prosperity, but as well as that of the company.

I thank you for being part of this terrific experiment called, ELGi. Here, we balance purpose and profit. Our purpose is not to make profits but without profits we cannot fulfill our purpose. It is closely intertwined. Our purpose is embedded in our Vision always be the choice everywhere. Choice of our stakeholders customers, employees, distributors, suppliers, investors and society. And we will be the choice of our stakeholders if we genuinely and consistently pursue our Values.

It is you and I who ensure that we are the choice. At the end of the day, in your life, what you do does not matter but what matters is the outcomes of what you do. Outcomes provide value, inputs are enablers. Inputs have to create outcomes. I urge you to be mindful of this simple principle in all that you do. Irrespective of the function that you work in and the level that you work in, you are a custodian of outcomes. And the collective set of these outcomes of all the people, makes the company.

We came out of a challenging 20-21 with a sharp focus on outcomes. We again encountered challenges in the beginning of 21-22 and this continues. We need to again find the same resolve and focus on outcomes. I am sure you will and I am sure we will succeed. We have an outstanding team and this makes us different. I wish you a great 2021-22.

Sincerely,

Jay

29-07-2021

Name : Mr. Vasanth Kumar M  
Designation : Sr.Programmer  
Band : M1-B  
E Code : 101742  
Region/Function : Finance / IT

**Subject: Salary Revision - April 2021**

Dear Vasanth Kumar,

**PROMOTION**

***Congratulations!***

We are delighted to announce your promotion as **Dy.Manager-Systems** in band **M1-C** with effect from **01-April-2021**. This elevation is in recognition of your performance and the potential to shoulder higher responsibilities.

The new role would challenge you in more ways than one. Most of all, it would demand that you elevate your vision and thought process and acquire new skills that are required as you go higher up in the organization.

**COMPENSATION FOR 2021 - 22**

Compensation revision for each financial year is carried out on the basis of various inputs like overall economic conditions, industry performance, compensation benchmarks, company performance for the past year and growth outlook for current year.

This year's salary revisions have been arrived after doing a detailed compensation review with the Business and Functional Leaders involving a rigorous work and internal discussions.

Details regarding your **revised compensation** with effect from **01-April-2021** are explained in the annexure.

The performance pay mentioned in the annexure represents your earning opportunity at 100% performance, subject to

- ⇒ The company meeting its organizational goals
- ⇒ You meeting your individual performance goals / performance standards as outlined in the P3 program for the year 2021-22, which will be made available on our intranet.

The year 2020-21 has been challenging for everyone globally. At ELGi, we started the year with a very tough Q1 due to Covid. Due to your perseverance, attitude and spirit, we have done reasonably well in the balance three quarters. We appreciate the efforts made by you and our other colleagues during the tough COVID times. The year ahead is also not going to be easy. **We now have to be totally aligned and performing to achieve the SBP targets.** We are sure that with the same positive attitude of colleagues like you, we will be able to sail through these tough and uncertain times.

We thank you for being with ELGi.

**Please note that all matters relating to remuneration are strictly personal and confidential between you and the Company and should be treated as such. The contents of this letter are unique and specific to you - you may not discuss it with anyone except your supervising Manager and / or with HR. Please note that any breach of confidentiality will be viewed seriously.**

Yours sincerely,  
for ELGi Equipments Ltd



Jayakanthan R  
Chief Financial Officer

**Annexure:** The break-up of your compensation structure for the year 2021-22 is given below:

Name : Mr. Vasanth Kumar M  
Designation : Dy.Manager-Systems  
Band : M1-C  
E Code : 101742

| Particulars                          | Existing(2020-21)<br>₹ | New(2021-22)<br>₹ | Increase      |
|--------------------------------------|------------------------|-------------------|---------------|
| Basic                                | 27,395                 | 27,395            |               |
| House Rent Allowance                 | 10,958                 | 10,958            |               |
| Special Allowance                    | 24,437                 | 30,425            |               |
| Education Allowance                  | 200                    | 200               |               |
| Medical Allowance                    | 1,250                  | 1,250             |               |
| Conveyance                           | 1,600                  | 1,600             |               |
| Gross Pay per month                  | 65,840                 | 71,828            |               |
| Provident Fund                       | 3,287                  | 3,287             |               |
| Gratuity                             | 1,318                  | 1,318             |               |
| <b>Guaranteed Pay per annum</b>      | <b>8,45,340</b>        | <b>9,17,196</b>   | <b>8.50 %</b> |
| Performance Pay per annum            | 93,926                 | 1,01,910          |               |
| <b>Cost to the Company per annum</b> | <b>9,39,266</b>        | <b>10,19,106</b>  | <b>8.50 %</b> |

**Note:**

- Please note that the performance pay indicated in the table above refers to your earning opportunity for the FY 2021-22. The actual payout could be higher or lower as explained in the P3 guide.



Jayakanthan R  
Chief Financial Officer